RNIT AI Solutions Limited (BSE: RNITAI) — Business, Valuation and Portfolio Action — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to RNIT AI Solutions Limited (BSE: RNITAI) – Business, Valuation and Portfolio Action: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: RNIT AI Solutions Limited (BSE: RNITAI) — Business, Valuation and Portfolio Action (IN)
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Core Verdict: REJECTED (NO_NEW_ALLOCATION; REJECTED because the base value is below the support-monitor band and the support-zone reward/risk is negative.)
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (12,913 words • ~83 min listen)

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A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

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SESSION PRICE

NEW CAPITAL VERDICT

REJECTED

CURRENT HOLDING ACTION

EXIT IMMEDIATELY — 10000 shares across zerodha: 10000 shares; market value ₹889,900.00; cost basis ₹555,481.37; recommend selling 10000 shares and retaining 0 shares; unrealized P&L ₹334,418.63; portfolio weight 20.78%

STAGE POSTURE

Stage 3 (Topping / Pullback)

VALUATION WATCH ZONE (CONDITIONAL)

₹71.04–73.85

12-MONTH SCENARIO RANGE

Bear ₹31.40 / Base ₹63.00 / Bull ₹110.00

PREFACE & CORE THESIS

RNIT AI Solutions sells identity, education and government software. It entered the listed company through the former Autopal shell after insolvency and a merger. FY2026 was profitable, but cash after capex was negative; H1 FY2027 operating cash was also negative. At the last verified ₹88.99 bar, FY2026 EPS implied 56.7× earnings, while the ₹63 base value was below the support band. The business remains conditional and new capital is rejected; I advise a full exit of the 10,000-share holding after checking a live quote and liquidity.

PROLOGUE

The Business, the Price and Our Independent Verdict

> *"Price is what you pay. Value is what you get."*
>
> — WARREN BUFFETT, LETTER TO PARTNERS, 20 JANUARY 1966

You and I are looking at two different decisions. The business can be real and the share can still be too expensive. RNITAI has reported rising sales and profits, named public-sector deployments and a portfolio that spans biometric identity, education workflows, enterprise software and conversational AI. At the same time, it has only two audited years under the merged technology operation, no disclosed product mix, no renewal cohorts and weak recent cash conversion. Our job is to keep the opportunity and the uncertainty in the same frame.

The company history matters because it changes what the numbers mean. Autopal began as an auto-lighting business, entered insolvency resolution, and received the RNIT Solutions & Services business under an NCLT-approved plan. The appointed date was April 2023; the new name arrived in February 2025 and the company relisted in October 2025. FY2025 and FY2026 are the first meaningful public financials for the combined software operation. Do not call the old company's revenue a decade-long SaaS record.

The new operation has evidence beyond a pitch deck. FY2026 revenue was ₹51.50 crore and PAT ₹12.02 crore. H1 FY2027 revenue was ₹24.26 crore and PAT ₹5.51 crore. BSE disclosures identify Andhra Pradesh, Telangana and Meghalaya public-sector work, and the APSSDC filing describes a conversational-AI platform. Those are meaningful commercial signals. They do not disclose independent quality tests, paid active users, product margin, final invoice collection or customer renewal.

The cash evidence changes how you should interpret growth. FY2026 CFO was positive ₹11.23 crore, but fixed and intangible purchases were ₹18.97 crore, leaving negative ₹7.74 crore after investment. In H1 FY2027, CFO was negative ₹7.10 crore despite positive profit; receivables increased and cash fell. Those movements may be driven by growth, billing milestones or collection delay. A project bridge that follows acceptance to invoice to bank

receipt would resolve the question. Until it appears, the business-quality verdict is CYCLICAL_CONDITIONAL with KPI health PASS_WITH_WATCH.

At the last available target bar, ₹88.99, the share represented approximately ₹754.56 crore of equity value using the FY2026 share count. That is 56.7 times the reported FY2026 EPS of ₹1.57. The reverse cash-flow hurdle needs roughly ₹43.9 crore of first-year equity FCF under the stated 25% growth, 14% cost-of-equity and 3% terminal assumptions. FY2026 FCF after purchases was negative; H1 operating cash was negative. The valuation already assumes a turnaround that is not yet demonstrated in cash.

The probability-weighted 12-month value is ₹64.50 under our 20/55/25 bull/base/bear weights, below the last available ledger mark. The base case is ₹63. The upside case is not impossible: if NIA and Faceify become repeatable products, if government deployments renew and if customer acceptance and collections normalize, per-share earnings can compound quickly. But the bear case is material because a single segment hides both the services cost and the product economics. Our new-capital verdict is therefore REJECTED until the return case becomes stronger.

The current holding is a portfolio decision, not a referendum on whether the technology has a future. The ledger records 10,000 shares, market value ₹889,900, cost of ₹555,481.37 and an unrealized gain of ₹334,418.63. That is 20.78% of NAV. The probability-weighted value is ₹64.50 versus the ₹88.99 last verified mark, or 27.5% downside, and the report has no synchronized live stop. Selling only half would leave about 10.39% of NAV exposed even as new money is rejected. I therefore recommend an advisory exit of all 10,000 shares at the next liquid opportunity after checking the live quote.

The proceeds should not be forced into another equity. COFORGE is a shortlist Stage 2 name but misses the risk/reward hurdle; Manorama's support-zone ratio is stronger but the price is extended; eMudhra's identity franchise is an outside comparator with a weak tape and a conservative value below its last ledger mark. Cash is the only allocation that clears current evidence and entry discipline. Keep the cash decision reversible: recheck the next results, test collections and deploy only when a fresh candidate is both fundamentally acceptable and inside an asymmetric support zone.

The maxim “Price is what you pay. Value is what you get” is not an instruction to buy every wonderful company at any price. Here it reminds us to separate a real public-service business from the price paid for future profits. The price already embeds successful commercialization; the filings still leave customer concentration, renewal and cash conversion unresolved. That difference is the investment decision.

There are three observable conditions for a more positive review: audited CFO recovers toward PAT and aged invoices convert; product and customer disclosures demonstrate repeatable revenue; and a synchronized completed-session chart recovers a rising intermediate trend. If only the share price rebounds, the business case is unchanged. If only sales grow while receivables and funding needs expand, the quality gate remains open. Until the evidence changes, trim concentration, retain conditional optionality and keep new proceeds in cash.

> **NARRATOR'S REFLECTION — SEPARATE THE COMPANY FROM THE POSITION SIZE**
>
> A conditional business can remain in the portfolio at a smaller weight while new money waits for evidence and price discipline.

CHAPTER I

A Corporate Shell Reborn: Autopal, CIRP and the Operating Reset

> *"This year has been truly transformational for RNIT AI Solutions Limited."*
>
> — RAJA SRINIVAS NANDIGAM, MANAGING DIRECTOR'S MESSAGE, FY2025 ANNUAL REPORT

You should separate the age of the legal entity from the age of the business being evaluated. Autopal's 1985 incorporation and automotive-lighting identity are real history, but the present company reports software, AI and digital services after the merger. If the corporate name or date makes you assume four decades of technology relationships, you will overstate continuity. The FY2025 report describes the change from auto components and equipment to software and consulting. The shell, listing and legal identity endured; the operating engine came through RNIT Solutions & Services. These are distinct sources of continuity, and only the latter is relevant to the current product and cash-flow thesis.

The restructuring came out of financial distress, not a voluntary acquisition of an intact listed technology company. Tack Innovations initiated CIRP, and the NCLT approved the plan and merger on 23 September 2024. The scheme gives 1 April 2023 as appointed date, while the new Board assumed control on 8 October 2024. Those dates answer different questions: accounting cutover, judicial approval and management control. A careful analyst keeps them separate. The earlier appointed date does not mean new leadership controlled the listed company from that day, and the later handover does not erase the accounting treatment of the scheme.

The old lighting identity must not be confused with the technology operation that entered through the resolution plan. The annual report names RNIT Solutions & Services as an IoT, AI, mobile-solutions and application-development business. It also says Autopal's operations transitioned from auto components to software and consulting. The corporate lineage explains why older records look like an auto-components company; it does not prove that current software products have long renewal histories or that lighting customers became

buyers of digital-governance systems. Use the legacy for context and post-merger filings for current economics.

FY2025 provides the first post-relisting report and ₹3,222.59 lakh revenue and ₹720.94 lakh PAT. FY2026, the first full year under the new name, reports ₹5,149.88 lakh revenue and ₹1,201.73 lakh PAT. It is tempting to call this a multi-year growth record, but the base is only two years and the first includes integration of the operating business. Recognize genuine scale and profitability while keeping the track record short. Do not fit the sparse legacy snapshot and carry it into the new software operation.

The capital reset makes caution more important. Under the plan, old promoter holdings and preference shares were extinguished, public ownership was reduced, and new shares were issued to holders of the merged operating entity. Paid-up equity rose again during FY2026. ROE fell from 25% to 11% even as absolute profit rose because net worth expanded after allotments. Per-share, ownership and operating continuity all changed. Explain these structural breaks before comparing ratios or assuming each share represents the same claim throughout the company's old history.

Governance is being rebuilt alongside operations. The FY2026 secretarial auditor records that Board composition did not meet prescribed independent-director requirements until 28 May 2025, when appointments and committee changes brought it into compliance. This is a specific disclosure, not a reason to dismiss the company. It gives you a date from which to assess current oversight. Future reports should show whether independent directors challenge related-party funding, revenue recognition, security, impairment and capital allocation. A recently compliant structure still needs a record of effective practice.

The management narrative describes an AI-first company with identity, governance, conversational AI and SaaS. The product set may be coherent: face verification, education systems, welfare identification and enterprise workflow can reuse engineering capability. But one operating segment and no product-level revenue or profit split mean you cannot tell which offering pays for the others. Ask how much code is reused, what share renews without a new project, and whether support cost rises more slowly than usage. Product breadth is strategic range; repeatable unit economics are separate evidence.

Use an evidence hierarchy. The NCLT order and annual report establish the resolution and merger; audited statements establish current income, cash flow and balance sheet; interim results provide a limited-review half-year test. Company letters and notices contain management claims about scale and ambition. Each can matter, but they are not equally strong. Millions of digital interactions may indicate technical scale, yet filings do not reconcile them to paid users or revenue. Ask what counts as an interaction, how many users are unique, what reliability was achieved and how activity becomes cash.

Your baseline begins at the transaction, not in 1985. Mark the merger's appointed date, NCLT approval, management handover, name change, first post-relisting report and first full year under the new name. That chronology prevents incorporation history from becoming operating history. It leaves room for RNIT to build a valuable software business while remaining honest that durable renewal and cash compounding are not yet established.

When you build a base case, separate three clocks: the merger's appointed date, NCLT approval and managerial control. The scheme's appointed date was April 2023; NCLT approval came in September 2024; the new Board assumed control in October. These dates can all be true without describing the same economic period. Be explicit about how the operation entered the accounts. This matters when someone describes FY2025 as organic growth: it was the first post-relisting report and included the merger-related reset. Future comparisons should anchor on the integrated software operation.

The plan is also a capital-allocation event. Old promoter holdings and preference shares were extinguished, public holdings reduced and merger shares issued. These mechanics alter ownership, net worth and per-share comparisons without changing product demand. FY2026's higher absolute PAT alongside lower ROE illustrates why returns must be read against the changed capital base. Keep the chronology in your notes; a simple profit table otherwise makes structural change look like operating efficiency. The evidence supports an early profitable software operation, but the post-reset record remains short.

Your baseline should not be reset only once and then forgotten. As the company publishes new years, preserve the distinction between the legacy shell, the merged operator and the post-control business. Each new full year can lengthen the operating record, but only if the economics remain comparable and accounting policies are understood. Revisit the merger

effects, share-count changes and Board evolution rather than allowing the original restructuring to disappear from the narrative. That is how you avoid both extremes: treating the company as permanently unproven or granting it a mature history it has not earned.

The legal and operational clocks should remain separate in your model. The merger's appointed date is 1 April 2023; the NCLT approved the plan on 23 September 2024; the new Board assumed control in October 2024; the name changed in February 2025; and the company returned to trading on the BSE main board in October 2025. Each date governs a different accounting or control event. The present business began through a court-supervised restructuring, not a normal acquisition with an uninterrupted public record.

The plan also changed the ownership claims. Preference shares were extinguished, former promoter holdings cancelled and public shares reduced by 75%, while shares were allotted to the merged RNIT Solutions & Services shareholders. Later equity issuance expanded paid-up shares to 8,47,92,083 by March 2026. Those actions do not tell us whether the products will succeed, but they reset per-share comparisons and control. A reader should distinguish an old shareholder's historical experience from the current ownership structure.

> **NARRATOR'S REFLECTION — THE SHELL AND THE ENGINE**
>
> When a long corporate history is attached to a new technology story, ask which assets actually endured. Here the listed shell is old; the software operating record is new.

CHAPTER II

Inside the Single Segment — Products, Buyers and Workflows

> *"Our AI & IOT based comprehensive solutions must deliver real-world impact."*
>
> — RAJA SRINIVAS NANDIGAM, MANAGING DIRECTOR'S MESSAGE, FY2025 ANNUAL REPORT

You are looking at one software-and-services segment wearing several product names.

The names matter because they show where management hopes to reuse technology, but they do not create separate reported businesses. Audited descriptions combine AI, software development, digital platforms, consulting, support and maintenance. Product revenue, profit splits, SaaS share and customer concentration are not published. Your first discipline is to say this directly rather than turn a catalog into a financial segment table.

Start with the attendance workflow in Andhra Pradesh. The buyer is the Commissionerate of Higher Education; the filed SLA covers about 3,900 institutions and 1.3 million students, staff and users. RNIT is to design, develop, integrate and deploy a mobile facial-recognition attendance system, train users and maintain the application. The service price is transaction-based on attendance authentications and the SLA lasts two years. The filing does not publish a rate, accepted volume, error rate, active users or collections. This is a concrete customer example, not proof of unit economics.

The example has an end-to-end shape you can test. A department has an attendance-authentication requirement; RNIT supplies mobile-driven face recognition, integrates it with the department's systems, deploys it across institutions, trains users and maintains the service. Billing follows authentications processed. What remains unreported is how many users are active, whether each authentication is accepted, how many invoices are paid and what support costs remain. The product may be useful without yet proving a high-margin subscription engine.

Telangana extends the same workflow to higher education, SBTET, collegiate education and ITIs. Work orders through TGTS describe roughly one million users, a three-year period and a SaaS rate-contract arrangement. Implementation and maintenance are explicit, but the

monetary rate, actual activity and collections are not. The multi-state footprint is evidence of buyers and scope; it is not evidence that every named user is paying. Ask for active rollouts, monthly authentications, service incidents, contract extensions and the cash collected from this customer.

A historical Telangana Social Welfare Residential Educational Institutions Society order supplies another concrete delivery model. RNIT's 25 November 2025 filing described a facial-recognition attendance system scoped for about 1,70,000 students a day across 268 institutions, provided as SaaS with usage-based consideration and a two-week go-live target. The amount varies with identifications; the notice does not show later active usage or cash collected. The March 2026 TGTS rate-contract scope is a separate filing and should not be added to this one as if the users were unique.

NIA begins with a different user problem: job seekers need to practice interviews, receive feedback and assess skill gaps in multiple languages. APSSDC's September 2026 award names a multilingual interview and job-preparation platform integrated with Naipunyam. The authorized scope is up to 20 lakh users or interview sessions, with up to two attempts for pursuing students and one for other users. These are product rules, not usage results. Check completed sessions, language mix, quality, human escalation and paid minutes before inferring adoption.

The pricing model is more informative than a headline project tier. The filing says charges are per minute per user, based on actual usage and satisfactory delivery; it also provides for a five-year service term from signing. RNIT classifies the award as Tier 7, above ₹25 crore inclusive of GST, but that is not a fixed guaranteed receipt. A platform can be designed for millions and still generate less cash if sessions are few, the acceptance criteria are unmet or usage costs exceed revenue.

The APSSDC story has a chronology worth keeping. A January filing described the award and said formal execution and performance security remained in process. The later September notice gave the more detailed NIA scope and terms. The filings do not clearly explain whether the second notice amends the first or records a separate contract stage. Do not count both as two independent projects or as two revenue amounts. Ask management for the signed contract value, its minimum commitment and the actual delivery status.

A second AP education workflow covers the Commissionerate of Collegiate Education. APTS awarded modules with two months for development and five years of O&M after deployment. A separate notice describes an online application for academic and NCVET activities for SBTET. These examples show that the company sells more than face matching: it can also build and maintain administrative modules. The public record does not split their revenue, pricing or support margin from the single operating segment.

Faceify Edu and Faceify Corp are the intended standardized offers for campuses and businesses. Edu is described for administration, attendance and student engagement; Corp for workforce, visitor and access workflows. RNIT says they are cloud-native SaaS platforms, but the filings do not disclose paid customer counts, subscription revenue, churn or renewal. A common product might spread engineering costs across customers. Until cohorts and revenue are published, call this a product strategy rather than a proven recurring-revenue base. A historical Telangana Social Welfare order is another filed example of that model, but its 2025 user scope is not a current utilization count.

The case-study hub is available as a link, but its detailed pages were not retrievable in this research pass. We therefore do not rely on the claimed scope of its other case studies. This restraint matters: a company-authored success story can help you generate diligence questions, but it is not a substitute for an exchange filing, customer confirmation or audited receivable. The strongest external evidence here is the filed scope and named counterparty; the unresolved question is what was accepted and collected.

Geography is visible only in aggregate. Domestic revenue was ₹3,382.43 lakh and export revenue ₹1,767.45 lakh in FY2026, up from ₹2,480.64 lakh and ₹741.95 lakh in FY2025. The numbers show material export contribution, but not which countries, customers or products supplied it. A rising export line can broaden demand; a small number of large contracts can still leave concentration high. Do not describe the company as diversified until customer-level reporting supports that conclusion.

The accounting policy names time-and-material, fixed-price, milestone, subscription and managed-service arrangements. Each changes the order of cash and risk. Fixed-price software can suffer cost overruns; milestone work waits for customer approval; subscription billing can be repeatable but only if the buyer renews; managed services can continue while

requiring support. The accounts do not disclose the mix, so you cannot choose one average billing cycle or one price-per-seat model for all products.

Public procurement is visible through APTS, APSSDC and TGTS, but the vendor route beyond those agencies is not mapped. APSSDC's earlier notice described an open competitive process and RNIT as L1; the later award identifies the service terms. The accounts say some contracts can include subcontractor services or third-party equipment. This means the delivery chain can involve more actors than the product brand suggests. Ask whether RNIT controls the software, acts as prime contractor, resells components or coordinates specialists on each project.

The customer examples also have different acceptance gates. An attendance system needs reliable face capture, exception handling and departmental integration; an interview platform needs language quality, safe escalation and useful assessment; an administrative module needs data migration and staff training. A successful attendance deployment does not validate NIA's unit cost, and a high interview-session ceiling does not prove Faceify adoption among SMEs. Keep the customer, product, billable unit and renewal outcome linked in each diligence note.

A project ledger would make the business much easier to underwrite. For each contract, report award date, signed value or usage formula, user scope, planned go-live, acceptance, amount invoiced, amount collected, cost to serve and renewal. The filings provide pieces of that chain, such as a transaction pricing unit in attendance and a per-minute fee in NIA, but not the whole bridge. It is possible that the economics are attractive; the market cannot test it from a single aggregated segment.

The portfolio can be coherent and still have unclear economics. Identity may open a government account, education modules may add workflows, NIA may add a new interface, and Faceify may target business subscriptions. The same engineering foundation might serve multiple buyers, or every deployment may require substantial customization. The FY2026 consultancy expense and one-segment disclosure leave both explanations open. Your conclusion should therefore recognize the named customer work and leave product-level margins unassigned until RNIT reports them.

A blank product-mix table is not a failure of analysis. It is a map of information risk. RNIT reports one operating segment, so no revenue or profit share can be assigned to identity, education, NIA, Faceify or ERP. The BSE notices establish real customer scopes; the accounts do not disclose how much each contributes. If later filings publish renewal, active-user and project-cash data, you can move from describing a portfolio to judging a product engine. Until then, do not mistake scale of potential use for value captured.

The Higher Education FRS example lets you follow the service more closely. A department authorizes deployment across colleges; RNIT builds a mobile capture workflow, integrates it with the department's attendance environment, trains users and maintains the system under the SLA. Authentication events are the billing unit. The agreement states a two-year term and population scope, but not accepted event counts, rate per authentication or cash received. Do not turn the 1.3 million user scope into 1.3 million paying subscriptions.

The NIA user journey is similarly bounded. A student or job seeker enters the state skill portal, completes a multilingual interview simulation and receives feedback or a skill-gap assessment. RNIT's award describes adaptive interviews, voice interaction and analytics; the usage ceiling is 20 lakh users or sessions, with attempt limits for different cohorts. Billing is per minute per user and depends on actual use and satisfactory delivery. The platform could scale cheaply if the model and content generalize; cost per session, language accuracy and repeat demand remain undisclosed.

Telangana's newer education work order and the earlier Social Welfare Society scope illustrate two forms of public-sector expansion. The March 2026 TGTS order covers about one million users across several higher-education bodies for three years; the November 2025 Society filing scoped attendance for 1,70,000 students per day across 268 institutions under usage-based SaaS. These are separate programs and must not be added as unique users or recurring revenue without reconciliation. They do show that state agencies specify populations and service terms; they do not show that every scoped user became active.

> **NARRATOR'S REFLECTION — PRODUCT LABELS ARE NOT REVENUE SEGMENTS**
>
> A catalog can show what management hopes to sell repeatedly. Only renewals, paid usage and cash disclosures show whether the catalog has become a scalable business.

CHAPTER III

How the Work Is Sold, Delivered and Converted to Cash

> *"The Company's business model—anchored in SaaS-based and milestone-linked billings, complemented by long-term partnerships with government departments—continues to provide stability and clear forward visibility."*
>
> — RAJA SRINIVAS NANDIGAM, MANAGING DIRECTOR'S MESSAGE, FY2025 ANNUAL REPORT

You should model the sales cycle as a chain of gates. A public award creates a defined obligation, but it does not automatically mean a system is deployed, accepted, invoiced or collected. The APSSDC and Higher Education disclosures name buyers and scopes that include design, development, integration, deployment and maintenance. The accounting policy then shows multiple commercial forms: time-and-material, fixed-price, milestone, subscription and managed service. Each format transfers risk differently. The project's value becomes durable only when RNIT delivers, earns acceptance, bills, collects and renews at a cost that leaves cash.

The auditor's key-audit-matter section maps the judgments that matter. It lists performance obligations, control transfer, stage of completion, unbilled revenue, customer acceptance and project completion. The audit team says it reviewed contracts, statements of work, timesheets, milestone confirmations and acceptance evidence. This is not an adverse finding: the auditor issued an unmodified opinion. It is a useful map for future monitoring. Ask whether contract assets grow faster than sales, whether aged receivables resolve, and how quickly a deployed system earns sign-off. A profitable statement can still leave cash tied up while milestones are pending.

The ₹100 bridge converts audited FY2026 figures into comparable proportions. Revenue was ₹51.4988 crore; employee cost ₹7.9529 crore; combined operating consultancy and other expenses ₹22.8649 crore; depreciation and amortization ₹4.0016 crore; finance cost ₹0.8495 crore; other income ₹0.7803 crore; and tax ₹4.5929 crore. The resulting PAT was ₹12.0173 crore. This translates to approximately ₹23.34 PAT per ₹100 revenue. It is not

proof that the same economics will repeat; the company is still early after restructuring and its cost mix includes substantial consultancy.

Cash-flow math changes the interpretation. CFO was ₹11.2315 crore, but fixed-asset and intangible purchases were ₹18.9675 crore, leaving CFO less capex negative ₹7.736 crore. Other financial assets also absorbed ₹18.1094 crore in investing activities. The reported CFO reconciliation includes positive borrowing and tax-liability adjustments, while receivables and other current assets consumed cash. So an accounting profit can coexist with a funding requirement. In H1 FY2027, PAT remained positive while CFO turned negative, receivables rose and cash declined. Keep audited full-year and interim half-year data separate rather than annualizing or combining them.

The receivable balance is part of the product economics. At FY2026 year-end, trade receivables were ₹20.63 crore and contract assets ₹5.15 crore; at September 2026 receivables rose to ₹30.85 crore. Some growth may reflect new work or milestone timing, but the public filings do not give a project-level bridge. Your monitorable items are ageing, post-period collections, unbilled balances, acceptance lag and customer concentration. The auditor's emphasis on milestone evidence makes these more than generic working-capital ratios. A growing order base without collection evidence can raise revenue while straining the balance sheet.

A SaaS component could improve the cycle if products renew, billing is standardized and delivery is reusable. Management says SaaS and O&M supported results, and accounting policies recognize subscriptions and managed services. But no recurring-revenue percentage, ARR, churn, renewal cohort or billing terms are reported. Do not assume annual prepayment or usage-based fees just because a product is cloud-native. Ask how much revenue renews without a new tender, what support effort is included and whether Faceify deployments share code. If the answers are absent, treat SaaS as a strategic option, not an established stabilizer.

Security is part of delivery. A system may connect mobile capture, biometric templates, customer databases, APIs, cloud services and third-party components. RNIT says responsible AI and security are priorities, but filings do not show deployment-specific retention, encryption, hosting, subprocessors or incident response. A contract does not by itself prove

that controls are adequate, and absence of detail is not proof of failure. The diligence standard is operational evidence: role allocation, lawful purpose, access controls, deletion, audit logs and independent testing.

The cost profile also requires attention. FY2026 consultancy charges were ₹14.60 crore, versus ₹7.95 crore employee-benefit expense, with 76 employees reported at year-end. The company does not specify all work included in consultancy, so do not label it all outsourced engineering. Still, future revenue growth must be read against people and third-party service costs. The key question is whether a deployment produces reusable code and renewals without proportional consultant-days. That is the difference between a software-enabled services company and a scalable software platform.

Follow each project from award to bank receipt. Award size, planned users and management confidence are early signals; deployment, acceptance, invoice, collection and renewal are stronger ones. FY2026 profit improved, but capex exceeded CFO and H1 FY2027 cash conversion weakened. Your assessment should remain open: a large government project can validate capability, while a durable business must deliver securely, document acceptance and collect efficiently.

For each public engagement, ask for evidence at each stage: signed scope, performance obligations, deployment, acceptance certificate, invoice, collection and renewal. The auditor's FY2026 procedures show RNIT itself recognizes contracts, timesheets, milestones and customer acceptance as relevant evidence. Those same milestones should structure your analysis. The company has identified buyers and projects, but public notices do not establish the complete commercial chain.

A project-led model can be healthy if milestone discipline is strong and delivery costs are controlled. It can still consume cash because employees and consultants are paid before a buyer accepts or pays. FY2026 showed positive PAT but capex above CFO; H1 FY2027 showed negative CFO and larger receivables. This is why acceptance and billing are part of the product's economics. The best evidence would connect contract scope, recognized revenue, receivable ageing and cash collected for named programs.

The contract formats also affect cash risk in different ways. Time-and-material work can bill effort but depends on records and customer approval. Fixed-price work places cost-overrun exposure on the supplier. Milestone contracts can defer invoices until delivery gates are accepted. Subscriptions may be more regular, but only if customers renew and usage costs are controlled. RNIT discloses all these forms in its accounting policy, not their proportions. Your model should therefore avoid one assumed cash-conversion cycle for every product line.

The NIA award is useful because it exposes a price mechanism without disclosing a tariff. APSSDC's 22 September notice says charging is per minute per user and payments depend on actual usage and satisfactory delivery. The project is classified Tier 7, which means above ₹25 crore under the company's threshold schedule, but it is not a guaranteed payment of that amount. A high authorized ceiling can sit beside low realized usage. Ask for interview sessions, minutes consumed, acceptance, invoices and cash received before using the tier as revenue.

The attendance contracts have a different billing unit. The Andhra Pradesh Higher Education SLA bills on processed attendance authentications and covers about 3,900 institutions and 1.3 million users for two years. Telangana's rate contract names around one million users across institutions for three years. Neither filing publishes the price per authentication or active-user count. A broad user scope could lower customer-acquisition cost if a state deployment is reused; a one-off build could instead concentrate support effort and collection risk. The accounts do not yet identify which result is more common.

The best future unit-economics disclosure would reconcile each of these formats. For attendance, report paid authentications and cost per thousand checks; for NIA, active interview minutes, model/hosting costs and completed sessions; for fixed or milestone modules, disclose contract asset movement and the time from acceptance to collection. Keep the ₹100 audited waterfall as the aggregate reference while those data remain unavailable. That lets you test reuse without inventing prices or assuming all deployed users pay.

The November 2025 Telangana Social Welfare project is a useful historical illustration of usage-based SaaS: its scope covered daily attendance for about 1,70,000 students across 268 institutions, with a two-week go-live target and consideration varying with identifications. It

shows how a contract can define a service unit without disclosing the rate. Do not annualize the covered population into revenue, and do not combine it with the later TGTS order unless the company provides a customer-level reconciliation.

The NIA order helps distinguish award size from cash economics. The company's Tier 7 classification is above ₹25 crore inclusive of GST, but payment is by minute and user after actual usage and satisfactory delivery. The deployment schedule is 15 working days subject to dependencies; the service period is five years from signing. The work order creates a possibility of scale, not a fixed annual subscription. Ask whether service costs, language support, inference costs and human escalation grow in proportion to billable minutes.

A contract's distribution path continues after signature. APSSDC selected RNIT as L1 through an open competitive process, and the later NoA defines a specific scope. The Higher Education SLA names the Commissionerate as the buyer; TGTS is the Telangana state undertaking managing the rate-contract orders. The filings do not identify every integrator, reseller, cloud vendor or procurement intermediary. That absence matters because channel commissions and third-party components can affect reported gross versus net revenue and project margins.

> **NARRATOR'S REFLECTION — FOLLOW THE INVOICE TO THE BANK**
>
> A deployment is not cash, and recognized revenue is not yet collected cash. Follow acceptance, billing, collections and renewal in sequence.

CHAPTER IV

The Battlefield — Alternatives, Trust and Moat Reality

> *"Innovation, however, must always be guided by responsibility."*
>
> — RAJA SRINIVAS NANDIGAM, MANAGING DIRECTOR'S MESSAGE, FY2026 ANNUAL REPORT

You should not start the market analysis with a large AI forecast. RNIT participates in overlapping markets: government software, facial recognition, identity verification, education administration, workflow integration, conversational AI and enterprise attendance. Each buyer has different priorities. A state department may value integration and uptime; a school may want a simple attendance flow; an SME may compare cloud software with a low-cost device. The company reports one operating segment, so no audited denominator establishes its share in any of these markets. A broad category can be attractive without guaranteeing a durable economic slice for RNIT.

The competitive field extends beyond AI startups. Buyers can select global biometrics vendors, domestic device firms, IT integrators, vertical SaaS or internal systems. NEC's public materials describe biometric and systems-integration offerings for government; Mantra advertises attendance in enterprise, education and government. These sources do not prove that either company bid against RNIT on a named tender. They show that customers have alternatives and can source algorithms, devices and workflows separately. RNIT's response is to combine identity, AI and department systems, but no disclosure compares total cost, error rates or measured outcomes against competitors.

The best moat hypothesis is institutional embedding. If identity connects enrollment, attendance, beneficiary records and reporting, replacement requires more than swapping an algorithm. A department may need data migration, system connections, staff training and procurement approval. RNIT's annual report and filed agreements suggest it wants this broader role. Yet switching costs should be demonstrated through extensions, customer references, module adoption and recurring revenue. A large initial deployment may still be

replaceable when the contract is re-tendered. No disclosed cohort shows customer retention or how often customers add a second product.

The counterview is that integration work may be substitutable. Open-source systems can improve portability, common algorithms can be sourced elsewhere and a large integrator can combine vendor components. RNIT's audited policy explicitly allows third-party software, equipment and subcontractors in some arrangements. That can be sensible delivery, but it obscures where intellectual property and customer value reside. No independently benchmarked algorithm results, product patents, exclusive data asset or broad certification set is shown in the permitted filings. Treat defensibility as a hypothesis rather than a fact.

Data protection is a business condition. Face images and templates can identify people; education deployments can involve children; welfare systems can affect public-service access. The DPDP framework creates requirements around processing digital personal data and children, but a general law is not a product certification and does not settle every constitutional or procurement issue. For each project, determine the parties' roles, lawful purpose, notice or consent requirements, retention, access, deletion and security controls. Do not assume that a government contract transfers every obligation away from the vendor. RNIT's annual report recognizes privacy and data-protection risk, which should lead to diligence rather than reassurance.

Technical accuracy has a fairness dimension. NIST's work documents demographic performance differences across tested recognition algorithms. It does not test RNIT's product or prove field error in a local deployment. It should shape the questions: has RNIT evaluated representative users and conditions, what happens when confidence is low, can a person appeal, and is a non-biometric fallback available? A false match or rejection in attendance or benefits can harm an individual and undermine the customer relationship. Cumulative verification totals do not reveal false-positive rates or user remedies.

Security risk follows the complete data path: mobile capture, template storage, customer database, APIs, cloud and third-party vendors. A breach can harm users and impair future procurement. RNIT says responsible AI and security are priorities and lists cybersecurity risk in its report. The filings do not enumerate certifications, penetration-test findings, incidents, data retention or subprocessors. Lack of public detail is not proof of weak controls; broad

policy language is not proof of strong controls. Ask for independent system-level evidence and incident-response practice.

Government procurement creates both references and lumpiness. A public award can establish institutional evaluation and a reference customer, but budgets, specifications, acceptance and payment remain outside the vendor's control. Renewal may require a competitive tender. APSSDC and Higher Education notices establish actual engagements but not backlog, bid conversion, customer concentration or renewal terms. The auditor's focus on acceptance evidence shows why procurement access alone is not equivalent to collected revenue.

To judge whether a moat is forming, observe reuse and renewal. How much code is common across projects? How quickly can an additional institution go live? What portion of users renew? What support load persists? Are face systems tested independently under realistic conditions? For NIA, track session completion, escalation and inference cost. RNIT does not publish these measures. Management's aggregate usage claims may be a starting point if definitions and customer data become available; absent that, scale remains an assertion rather than a moat metric.

The opportunity is credible, but a market narrative is not an advantage. Digitalization can expand demand while competition, regulatory requirements and implementation labor absorb value. Integration could create switching costs; open interfaces, generic algorithms and rebids could limit them. The strongest conclusion is that RNIT has a plausible government-workflow position and product suite, while defensibility remains unproven through renewals, customer economics, technical tests or security assurance. Keep the judgment provisional until those tests are answered.

Privacy can be both cost and differentiation. A supplier demonstrating strong controls may earn trust in sensitive public deployments; one that cannot may face procurement barriers or remediation. Verify the law and commencement applicable to each project, and how contractual roles divide responsibility. Annual-report commitments are not substitutes for a data map, retention controls or independent security testing. Do not claim compliance or non-compliance without system-specific evidence.

The moat depends on customer choice after initial deployment. A recognition module can be replaced; a connected workflow with records, integrations and training may be harder to displace. The empirical tests are extensions, module additions, renewals, cash collection and falling implementation effort. RNIT's filed agreements start the inquiry but do not answer it. Describe both embedded-value potential and tender-driven substitution risk.

The company's own FY2025 presentation reported more than three billion cumulative facial verifications and over 15 million daily identifications. Treat both as management-reported activity, not independently audited paid usage or unique people. NIST's face-recognition evaluations document demographic differentials in false-negative and false-positive rates across tested algorithms; those results do not measure RNIT's product. They do establish why the moat test must include independent accuracy, subgroup performance, fallback and appeal processes rather than throughput alone.

The competitive moat also has a buyer-side boundary. Public agencies may require data to remain portable and may rebid a service after the initial term. If RNIT integrates attendance, learning records and reporting, migration and training can increase switching friction; if data and interfaces are portable, a large integrator can replace the provider. Neither outcome is public. Ask for contract extensions, cross-module adoption and customer references, and confirm whether product IP is owned by RNIT or created specifically for a customer.

> **NARRATOR'S REFLECTION — A MARKET IS NOT A MOAT**
>
> A growing category can support many suppliers. A moat exists only when customers keep choosing this supplier through rebids, alternatives and scrutiny.

GLOBAL PARALLEL • INDIA AND INTERNATIONAL DIGITAL-TRUST PLATFORMS, FY2021–FY2026 • EMUDHRA LIMITED (MOAT_SCALING)

Identity systems can spread as customers need secure documents and online services. Certificates and trust services repeat across many customers; once integrated, they can support more workflows. eMudhra is a digital-trust peer, not a face-recognition vendor. FY2026 consolidated revenue from operations INR 7,015.80 million, EBITDA INR 1,654.26 million, PAT INR 1,100.38 million; Enterprise Solutions was 59% of revenue and the company reported 1,374 customers and 100 million-plus digital certificates issued. RNIT should show repeat customers, renewals and product revenue before calling its identity tools a moat. Usage counts alone do not show a paid, recurring product.

GLOBAL PARALLEL • INDIA ENTERPRISE AND GOVERNMENT TECHNOLOGY PROJECTS, FY2018–FY2019 AND SUBSEQUENT INSOLVENCY • ROLTA INDIA LIMITED (FAILURE_BASE_RATE)

Rolta built software and IP for large projects. A government customer cancelled one major project after budget limits changed. Debt and unpaid invoices left the company with little room to recover the cost. FY2019 revenue was INR 2,161.29 crore versus INR 2,860.81 crore in FY2018; debtor/WIP provisions and write-offs were INR 3,836.37 crore, finance costs INR 846.57 crore and net loss INR 3,657.42 crore. The annual report also listed continuing bank defaults. RNIT should tie each project to acceptance and cash. A promise that code can be reused is not enough if one buyer can cancel before the IP earns back its cost.

CHAPTER V

Management on Trial — What Must Be Measured Next

> *"The next era will not be defined by software alone. It will be defined by intelligent systems that continuously learn, adapt and create value."*
>
> — RAJA SRINIVAS NANDIGAM, MANAGING DIRECTOR'S MESSAGE, FY2026 ANNUAL REPORT

Your monitoring system should be small enough to use and sharp enough to change your mind. Begin with revenue and earnings, CFO and investment, receivable ageing and contract assets, recurring share and renewal, project acceptance, and delivery intensity. The annual reports provide partial baselines but not a complete product scorecard. That matters because a young software company can report attractive bookings or earnings while collections, support burden and renewals remain unknown. The goal is to see whether sales, profit and cash begin to move together after restructuring, not to find one flattering ratio.

Revenue and PAT grew in FY2026, but compare them against the right baseline. FY2025 was the first post-relisting year incorporating RNIT Solutions & Services, and FY2026 was the first full year under the new name. The increase is audited, but the segment note combines software, AI, consulting and support. Sales growth does not reveal whether Faceify subscriptions grew, an implementation was accepted, or export sales came from one account. Ask for recurring and project revenue, renewals and customer concentration. Until then, treat aggregate revenue as evidence of scale-up, not proof of a product flywheel.

Cash conversion is the central near-term test. FY2026 CFO was positive and close to PAT, but capex and intangible purchases exceeded it. The CFO reconciliation also contains borrowing and tax-liability inflows, while receivables and current assets consumed funds. H1 FY2027 then showed positive profit alongside negative CFO. These facts do not invalidate earnings; they show that cash depends on working-capital timing and investment. Follow actual customer receipts rather than just the reported CFO line, and distinguish financing from customer-funded growth.

Receivable ageing offers a concrete warning system. FY2026 shows ₹449.19 lakh aged one to two years and ₹172.77 lakh six months to one year; the rest was under six months. Management classifies balances as good and records no loss allowance. That is an audited assessment, but it does not prove collection. Receivables then rose to ₹3,084.54 lakh by September 2026. Ask whether this reflects new deployments, pending sign-offs or concentrated accounts, and track subsequent cash receipts. This is more informative than a debtor-day ratio from a changing early revenue base.

Recurring revenue would change business quality, but it needs a numerical definition. The company says SaaS and O&M support results and recognizes subscription arrangements, but does not report recurring share, ARR, churn, renewal or duration. NIA's planned user scope is not completed sessions or recurring fees. Ask whether subscriptions bill in advance, whether the buyer must rebid, how support is included and how much use is paid. If these disclosures remain unavailable, retain SaaS as a strategic possibility rather than an established stabilizer.

Acceptance throughput is a leading indicator because the auditor names it as a key judgment. An award is early; deployment, milestone certification, invoice and receipt are successive proof points. Use contract assets and aged receivables as imperfect proxies, but request project-level data. Track award-to-go-live, sign-off lag and post-period cash. If these improve while sales grow, execution quality is strengthening. If not, earnings may be recognized ahead of cash. The unmodified audit opinion deserves respect; continued monitoring is not an accusation.

The labor mix tells you what kind of scale is being built. RNIT had 76 employees, spent ₹7.95 crore on benefits and ₹14.60 crore on consultancy. That may reflect flexible implementation capacity, but it weakens the assumption that incremental software revenue has negligible cost. Ask whether consultants are customer-billable, building common products or maintaining deployments. Track this cost alongside product-development additions and support obligations. Revenue per permanent employee alone can look unusually high if delivery is purchased outside payroll.

Management's usage and strategy claims may be important, but they need definitions. Billions of verifications do not say whether events are unique, repeated, paid, accurate or

concentrated in one customer. A memorandum or project capacity does not equal collected recurring revenue. Separate deployed systems, contracted scope, active use, renewal and customer cash. This method does not dismiss ambition; it makes it testable. No earnings-call transcript is available in this permitted set, so use attributed annual-report language rather than inventing call quotations.

Score the company quarterly but interpret it annually. A half-year can be distorted by collections or milestone timing, especially in a recently reorganized business. FY2026 is one full audited view; H1 FY2027 is an interim stress test. Keep them separate and follow up at year-end. The evidence threshold should rise with time: a real customer can validate initial delivery, but durable quality requires renewals, collections, product reuse and returns on development. If RNIT reports these, the business becomes easier to assess. If not, keep a conditional view rather than filling gaps with aspiration.

A useful dashboard should make it possible for you to change your mind. Revenue growth supports optimism; negative half-year CFO and higher receivables should temper it. A SaaS label may suggest recurrence; missing renewal data keeps the inference open. A government agreement establishes a buyer; acceptance and cash establish execution. By placing those evidence layers side by side, you avoid deciding in advance that every new disclosure confirms one thesis.

No earnings-call transcript is in the permitted set. You have annual-report letters and formal exchange announcements, not a basis to quote a call or invent management commentary. Use attributed shareholder-letter language and compare it with delivery. Global expansion, custom models and foundational platforms are priorities; releases, paid use, renewal and cash are outcomes.

Your KPI dashboard should preserve an explicit “not disclosed” category. That is more informative than estimating SaaS share from a CEO letter or customer concentration from a small number of named cases. A transparent unknown is a diligence item that can be resolved later; an invented proxy becomes false certainty. Pair what is known—audited revenue, PAT, CFO, capex, receivables and expenses—with a clear request for renewals, paid usage and project acceptance. Then update the judgment only when new evidence arrives.

Management's FY2026 letter says, "Our objective is not simply to participate in the AI revolution, but to build platforms that become foundational to how governments and enterprises operate in the years ahead." You and I should treat that as a strategic promise, not a result. The tests are repeatable deployments, renewals, product-level contribution and customer cash.

The newest commercial KPI is the APSSDC NIA award's usage contract. It allows up to 20 lakh users or interview sessions, up to two attempts for pursuing students with a three-month gap, and one attempt for other users. The commercial basis is per minute per user, and the filed term is five years from signing. These are designed capacity and contract conditions, not observed demand. You should monitor actual sessions, minutes, completed interviews, assessment quality, unit compute cost, acceptance and cash.

The same award is classified Tier 7, above ₹25 crore including GST under RNIT's reporting policy. That indicates a large contract category, but actual billings depend on usage and satisfactory delivery. The right walk-the-talk test is a later revenue and collection bridge for this project. If the company cites the full tier as order visibility, ask whether it is an enforceable minimum, a ceiling, or a classification based on potential usage. Do not count the tier as backlog without a reconciliation.

The older APSSDC notice from January 2026 described L1 selection and said formal contract execution and performance security were still pending. The September 2026 notice provides a later Notification of Award with terms. The two filings may represent a progression or separate scopes; they do not explicitly reconcile the amounts. This is a management-diligence question. The company should disclose whether the later award supersedes or expands the earlier notice, and how much revenue is recognized only after the customer accepts deliverables.

For the attendance products, count active rather than registered users. The Higher Education agreement covers about 1.3 million students, staff and users across 3,900 institutions, while Telangana's work orders specify about one million users across several education bodies. These are significant populations, but no audited active-user or paid-authentication count is disclosed. Ask for uptime, false-match/false-reject rates, accepted attendance records,

contract renewals and support effort. Those metrics connect management's deployment claims to customer value and cash.

For the next results cycle, you can organize the monitoring dashboard around leading, conversion and lagging indicators. Leading indicators are awards, user scope, scheduled go-live and product development. Conversion indicators are acceptance, active billable sessions, renewal and collection lag. Lagging indicators are revenue, segment margin, CFO, capex and impairment. The latest APSSDC award makes usage minutes and completed interview sessions measurable; the Higher Education SLA makes authentications and renewals measurable. None is currently reported in a way that lets investors calculate cohort economics.

The management walk-the-talk audit has a short horizon. FY2025 communications emphasized SaaS, government relationships and growing AI capability; FY2026 produced audited revenue and profit growth. The September 2026 NIA award is a specific new milestone. At the same time, the high-volume identification claims from the November 2025 presentation are not reconciled to paid active users or collected revenue, and H1 FY2027 cash conversion deteriorated. The promise of foundational platforms remains open until new awards convert into accepted, repeatable and cash-generative deployments.

> **NARRATOR'S REFLECTION — CHOOSE INDICATORS THAT CAN FALSIFY THE STORY**
>
> The best KPI is one that could tell you the thesis is failing. For RNIT, that means acceptance, collections, renewal and delivery effort.

CHAPTER VI

Financial Forensics: A Rebuilt Base, Uneven Cash and Intangible Risk

> *"Our improved earnings demonstrate not only disciplined operational management but also the scalability of our business model."*
>
> — RAJA SRINIVAS NANDIGAM, MANAGING DIRECTOR'S MESSAGE, FY2026 ANNUAL REPORT

A "ten-year history" can mislead when operating identity changes. RNIT's shell has old records, but its technology operation entered through an NCLT-approved merger after CIRP. The permitted snapshot gives scattered legacy years, not a continuous series; the annual report states FY2024 had no operating revenue in the old company, while FY2025 contains the merged software operation. Keep old values visible to explain the corporate record, but do not let them imply continuous software compounding. FY2025 and FY2026 are the first meaningful audited years for the new operation, and even those describe a business in transition.

Legacy snapshot data is uneven. Some years show low sales with comparatively high PAT, and CFO is often near zero or negative. Without matching historic reports and explanations for unusual income, you cannot attribute those results to a durable model. There is also a gap from FY2018 through FY2023, followed by insolvency and restructuring. Flag the break rather than interpolate. Missing data is not proof of zero activity, but it is not permission to invent a smooth bridge.

FY2025 was a reset year: ₹32.23 crore revenue, ₹7.21 crore PAT and negative ₹6.82 crore CFO. The cash-flow statement includes major fixed/intangible purchases and acquisition cash. That mix includes integration and investment, not just operating weakness. FY2026 provides the next test: PAT rose to ₹12.02 crore and CFO to ₹11.23 crore, yet purchases of fixed and intangible assets exceeded CFO. Positive earnings therefore had not translated into positive cash after investment. The next reports need to show whether development assets generate collections and whether working capital normalizes.

The cost statement is a window into the model. Consultancy charges were ₹14.60 crore, employee benefits ₹7.95 crore, and materials purchases nil. That resembles a software and integration operation, but the consultancy line is large and undefined. With 76 permanent employees, RNIT may be using outside capacity, building product, buying specialist services or delivering billable projects; the accounts do not say which. Do not infer pure-product margins simply because there is no inventory. Ask what consultancy includes and whether it creates reusable IP, customer-billable work or ongoing support.

The balance sheet has assets with different risk profiles. Goodwill of ₹39.98 crore arose through the merger and is not amortized. Product-development intangibles stood at ₹29.15 crore after material additions. These values can be supported if the acquired operations and products generate future cash, but they also make impairment and monetization important. Annual testing is not the same as proof of commercial value. Your test is whether products create recurring revenue and cash after support and enhancement. If adoption disappoints, accounting charges can arrive after cash has already been spent.

Receivables are a practical test of revenue quality. At March 2026 the balance was ₹20.63 crore and included ₹4.49 crore aged one to two years. RNIT classified all as good and reported no loss allowance. Respect the audited assessment, but continue asking: an amount can be considered recoverable yet still tie up cash for a long time. By September receivables were ₹30.85 crore and H1 CFO was negative. Track subsequent receipts, acceptance evidence and customer concentration rather than rely on one debtor-day ratio.

The CFO reconciliation deserves forensic reading. FY2026 includes a positive ₹9.83 crore borrowing movement and ₹4.18 crore current-tax-liability increase within its operating cash-flow adjustment list. Receivables, advances and other current assets consumed funds. Report CFO as filed, but recognize that it is not equivalent to cash collected from customers. Do not invent a normalized number without a consistent method. Instead, ask for a bridge to bank receipts and monitor whether the pattern repeats. The composition of an audited total determines how much confidence to place in the headline conversion.

Liquidity moved quickly after March. Cash was ₹28.68 crore at FY2026 year-end and ₹4.69 crore at September. At the same time receivables rose and borrowings increased. The interim cash flow attributes operating outflow largely to receivables and other current assets, while

investing includes capital work in progress and other financial assets. This may accompany growth, but productive investment and slow collections are different explanations. Follow whether work-in-progress becomes deployed products, advances unwind and collections improve. If cash remains low and borrowings rise, liquidity needs can matter even in a profitable company.

Related-party items deserve neutrality and attention. RNIT reports interest-free unsecured loans from directors/promoters, outstanding balances from the Managing Director and another director, and disclosed managerial remuneration. These are not evidence of wrongdoing. Track terms, approvals, repayments, balances and the company's reliance on such funding for working capital. Governance quality is demonstrated through transparent and consistent treatment, not by the mere existence of a related-party policy.

Auditor evidence is mixed in the ordinary analytical sense: the financial statements received an unmodified opinion, and revenue recognition remained a key audit matter because contracts involve judgment. The company also reports unmodified internal controls and no fraud report under the cited law. The secretarial auditor notes Board-composition gaps before May 2025 and compliance afterward. These facts can coexist. An unmodified opinion provides assurance over statements as a whole; it does not guarantee cash collection, product accuracy or future commercial success.

Keep the verdict conditional until several full reporting cycles exist. RNIT has audited growth, real operating profit and named government projects. But the free-cash-flow proxy remained negative in FY2026, H1 FY2027 operating cash flow turned negative as receivables rose, intangibles and goodwill are large, consultancy is material, and related-party funding has been used. The next test is whether accepted work turns into cash, renewals recur, product development is monetized and the funding need eases.

The share-count reset belongs in your return analysis. The NCLT plan extinguished old promoter holdings and preference capital, reduced public ownership and issued merger shares; FY2026 added further equity. This helps explain why profit rose while ROE fell. Do not treat the ratio change as operating deterioration without context, but do not ignore the larger denominator. Ask whether new capital has produced product assets and collections sufficient to earn returns.

The cash-flow statements need a bridge, not a slogan. FY2025 CFO was negative ₹6.82 crore while PAT was positive ₹7.21 crore; FY2026 CFO recovered to ₹11.23 crore against PAT ₹12.02 crore, but investment in fixed and intangible assets was ₹18.97 crore. The interim period then returned to negative operating cash. This sequence is consistent with a business investing in product assets and funding receivables, but the same numbers are also consistent with weak collections. Subsequent bank receipts, contract-asset settlement and use of capitalized software will distinguish those explanations.

Related-party funding and remuneration are disclosed and should be monitored over time. The FY2026 annual report lists unsecured, interest-free loans and balances due from directors, alongside executive remuneration. The Board states that transactions complied with law and were in the company's interests. The correct conclusion is not suspicion; it is a request for terms, approvals, repayment patterns and the degree to which insider funding supports working capital. As the business grows, independent financing and operating cash would reduce this dependency.

The per-share denominator also changed. The NCLT plan extinguished old preference and promoter shares, reduced public holdings, and allotted shares to RNIT Solutions & Services shareholders. The listed company then issued additional equity in FY2026. That makes current EPS and ROE different claims from pre-restructuring observations. A clean comparison begins after the merger and labels each capitalization event rather than treating the legal shell as one unchanged shareholder claim.

> **NARRATOR'S REFLECTION — PROFIT, CASH AND THE REBUILT DENOMINATOR**
>
> A new business can report real profits and still need years of proof. Read earnings, the cash bridge, acquired assets and the changing capital base together.

CHAPTER VII

The Price of Possibility — What Earnings Must Prove

> *"Price is what you pay. Value is what you get."*
>
> — WARREN BUFFETT, LETTER TO PARTNERS, 20 JANUARY 1966

You and I should start with the price that can actually be defended. The cutoff is 12 November, but the market-facts file's last available RNITAI BSE bar is 11 November at ₹88.99. That is the ledger mark used for the dossier's valuation and holding arithmetic. The consumer snapshot also showed ₹89.80 after the cutoff; it is disclosed as a feed discrepancy, not used to update the position. At ₹88.99 and audited FY2026 EPS of ₹1.57, RNIT trades at about 56.7 times that year's earnings. The TTM multiple differs because it includes a newer earnings window.

At the FY2026 share count of 8,47,92,083, the ledger price represents approximately ₹754.56 crore of equity value. This market value is large relative to a business that reported ₹51.50 crore revenue and ₹12.02 crore profit in FY2026. Growth can justify a premium, but growth has to become cash. Cash from operations was ₹11.23 crore, while fixed and intangible purchases were ₹18.97 crore. The resulting FCF after investment was negative ₹7.74 crore. A buyer is paying for an expected future business, not merely the last audited year.

The comparison table is useful only if we respect its limits. eMudhra sells digital trust, certificates and identity products; Newgen focuses on enterprise workflow software; Genesys has mapping and technology services; Vakrangee's assisted service network is another route into digital governance. Their markets, customer mix and operating histories are not identical. But eMudhra's annual report discloses customer count, line-of-business mix, geography and cash generation; RNIT's statements aggregate its offerings into one operating segment. The gap is not cosmetic. It determines whether you can estimate recurring revenue and product-level returns.

A historical valuation band is not available. Autopal's legacy business, the CIRP and merger, the reconstituted share capital, and RNIT's new software operation make old market prices

and old earnings incomparable. You cannot read a stable “normal P/E” from a series that changes what the company sells. Two audited years of post-reset software statements are evidence that the operation exists; they are not yet a full-cycle sample.

A conventional reverse DCF begins in the wrong place when trailing free cash flow is negative. FY2026 capex exceeded CFO, and the interim half-year cash flow then turned negative. So we ask a narrower question: what positive cash flow would make this equity value plausible? Under a transparent 25% annual cash-flow growth path for five years, 14% cost of equity and 3% terminal growth, the simplified model needs about ₹43.9 crore of first-year equity FCF to support the ledger-mark capitalization. That is far above the recent cash record. It is a hurdle, not a prediction.

Now compare the hurdle with the accounts. FY2026 CFO was ₹11.23 crore and FY2026 FCF after the disclosed asset purchases was negative ₹7.74 crore. H1 FY2027 CFO was negative ₹7.10 crore. The H1 change may be explained by receivable timing, contract assets, investment in software, or a combination; the company has not provided a project-by-project receipt bridge. If accepted deployments generate recurring collections, the cash path could improve. If each project requires bespoke work and absorbs working capital, the market’s required growth becomes harder to earn.

There is another way to read the price. At the FY2026 EPS, the current multiple is 56.7x. If you demand a 15% annualized return over five years and assume a 35x exit multiple, EPS has to compound roughly 26.6% annually. RNIT’s consumer snapshot showed high trailing revenue growth, but revenue growth is only one input. It does not prove that EPS compounds at that rate after interest, taxes, dilution, receivable funding and product-development spending. This is the difference between a growth narrative and a return case.

The base value of ₹63 is intentionally not a promise of where the share will trade next month. It assumes normalized FY2027 EPS of ₹1.80 and a 35x exit multiple. The bull case of ₹110 requires ₹2.50 EPS and a 44x multiple; the bear value of ₹31.40 assumes ₹1.00 EPS and 31.4x. Weighted at 20%, 55% and 25%, respectively, the scenario value is ₹64.50, about 27.5% below the ₹88.99 ledger mark. You may assign different probabilities, but the exercise makes the expected-return burden visible.

The competitive examples make the boundary clearer. eMudhra's FY2026 report describes a much broader trust-services platform and reports 1,374 customers, while Newgen and Genesys have their own mature disclosures and technical cycles. Vakrangee warns that an e-governance label by itself does not guarantee strong growth or returns. None sets a target for RNIT. They show what an investor can compare: recurring revenue, customer retention, margin, cash conversion and balance-sheet resilience.

The maxim "Price is what you pay. Value is what you get" is a useful restraint here. It does not say every expensive company is bad; it says the burden of proof rises with the price. RNIT can still grow into an attractive business, but you need evidence of paid usage, renewals, gross-to-cash conversion and stable per-share growth before paying today's multiple. Until that evidence appears, a pullback alone is not a valuation thesis.

The independent call is rejection for new capital. The business has promise and the price has optionality, but the base case sits below the current mark and the support zone does not deliver adequate base-case reward for risk. The next evidence that would change your mind is not another slogan: it is an audited cash-flow recovery, a disclosed recurring-revenue mix, collections from aged receivables, and product reuse across multiple customers. Then we can ask whether the price has also reset.

> **NARRATOR'S REFLECTION — GROWTH IS AN INPUT; CASH IS THE PROOF**
>
> A growing sales line can be real and still fail to compound per-share value if receivables, development spending and dilution keep absorbing the proceeds.

CHAPTER VIII

Reading a Thin Tape Without Chasing It

> *"You can't predict. You can prepare."*
>
> — HOWARD MARKS, OAKTREE MEMO TITLE, 20 NOVEMBER 2001

You and I have to separate a market-wide trend from the individual stock's tape. On 12 November the Nifty backdrop was an Uptrend (narrow breadth), with 58.8% of the Nifty500 pool above its 50-day average, 50.8% above its 200-day average and four distribution days in the 25-session window. That is not a disorderly market, but it is not broad confirmation either. The RNITAI BSE series has an additional wrinkle: its last verified ledger bar is 11 November at ₹88.99. Use that mark for the report and acknowledge the one-session gap rather than quietly importing the next day's quote.

At that last available bar, RNITAI was in Stage 3, a topping or pullback phase. The 50-DMA was rising, but the close was far below the 20- and 50-day averages and still above the 200-day average. RSI-14 was 32.86, the month return was negative 18.88%, and observed volume was 1.54 times its 20-day average. The signal is a sharp short-term break inside a longer trend that has not yet failed. This is precisely the kind of chart in which a low RSI tempts an investor to anticipate a bottom. You should wait for proof.

The price was near the recent swing low of ₹88.84. The older 63-day base low was ₹73.85, with the 200-DMA at ₹71.04. Those levels help define where the structural picture would weaken; they do not establish a valuation bargain. RNITAI is 3.47 ATR below its rising 50-DMA. A reclaim of that average would improve the tape, while a close below the base and 200-DMA would worsen it. Neither event changes the fact that the base-case value in Chapter 7 is below the existing ledger mark.

The chart module returned 1W, 1D and 4H values after the report cutoff, during the next Indian market session. It disagreed with the ledger and with the main snapshot by a meaningful amount. We therefore do not use its post-cutoff intraday prices to set the verdict, support zone or holdings value. The module also generated language about an actionable call spread even though its own chain check said RNITAI was not optionable. That wording has

been removed from the dossier output. The lesson is simple: when a tool's inputs disagree, do not pretend the chart is more precise than the evidence.

The Stage 2 dashboard's market-cap filter was ₹1,000 crore; RNITAI's capitalization at the ledger mark was below that threshold. The stock consequently did not appear in the filtered selection. That absence is not a technical rating. The market-facts daily series independently classifies the stock as Stage 3. If you keep these records separate, you avoid turning a screen boundary into a market judgment.

NSE cash flows on 12 November showed FIIs buying ₹7,830.60 crore while DIIs sold ₹6,331.17 crore. The same-day participant report showed FII index-futures long exposure of 70,744 contracts and short exposure of 120,463. Cash buying and derivatives positioning were therefore not identical signals. Neither data set identifies RNITAI-specific buyers. A market-wide foreign-flow number cannot be used to infer sponsorship of a BSE micro-cap.

The September 2026 ownership record showed promoters at 63.23%, domestic institutions at 1.71%, and FIIs at 0%. These are published shareholding categories, not a guarantee of alignment or liquidity. The BSE pledge page was dynamic and did not expose a dated issuer-level figure in the captured text, so the report does not state that promoter shares are unpledged. That is an open diligence item.

The post-relisting range from ₹37 to ₹114.10 offers only a short price history. Before the NCLT restructure, the shares represented a different operating business and the resolution plan altered public and promoter ownership. You cannot use those pre-reorganization prices to estimate a stable trading multiple for RNIT's software operation. One year of trading can show volatility and demand; it cannot tell you how the market will price a mature recurring-revenue company.

For an active trader, a useful sequence would be a pullback that holds a named shelf, quiet volume, then a reclaim of the rising 50-DMA on stronger participation. RNITAI has not shown that sequence in the verified ledger. For a long-term investor, the decisive sequence is different: deployments become accepted, invoices are collected, subscription or maintenance renews, and working capital normalizes. The first sequence can improve entry timing. Only the second establishes the business engine.

The listed options screen returned NOT_OPTIONABLE_OR_ILLIQUID. There is no listed chain in which to define a small, capped-cost call spread or LEAPS position, so the options verdict is no trade. A cash-equity investor must bear the full drawdown and liquidity risk. Do not manufacture option convexity where the market does not offer a usable contract.

Howard Marks's reminder, "You can't predict. You can prepare," fits this chart. Preparation means deciding before the next move which evidence changes your view: a sustained reclaim of the intermediate average, a base breakdown, accepted customer deployments, or an audited collection bridge. Your plan should not be rewritten by a single opening print. The captured 1W/1D/4H view is explicitly post-cutoff; a new synchronized chart pull is needed before any price-sensitive action.

> **NARRATOR'S REFLECTION — AN INDICATOR IS NOT A BUSINESS**
>
> An oversold oscillator can describe a price move. It cannot tell you whether invoices are accepted, customers renew, or development spending earns a return.

CHAPTER IX

Bull vs. Bear, Likely Outcomes and the Exit Plan

> *"Know what you own, and know why you own it."*
>
> — PETER LYNCH, INVESTOR MAXIM

You and I can accept both sides of the argument without pretending they cancel each other. RNIT has reported rising revenue and profit, a suite of identity and governance products, and named engagements with state customers. It has also reported negative half-year operating cash flow, rising receivables, a small post-relisting earnings history and no product-level economics. The central question is not whether the product demos look promising; it is whether each deployment becomes a profitable, recurring and collected stream.

The bull case begins with proof of execution. FY2026 revenue was ₹51.50 crore and PAT was ₹12.02 crore. Q2 FY2027 revenue was ₹16.41 crore and the half-year produced ₹5.51 crore PAT. A large public-sector customer can create credibility for follow-on projects, while identity, attendance, education and NIA modules may share technical infrastructure. Management also reported high-volume facial identifications in its presentation. If customers renew and the codebase is reused, the small reported scale can create operating leverage.

The bear case begins where the optimistic story tends to stop. The company does not disclose SaaS revenue share, paid active users, renewal rates, product margins, top-customer concentration, deployment cost or cohort economics. One segment combines design, development, consulting, maintenance and platforms. The auditor highlighted milestone completion and customer acceptance as key revenue judgments. H1 FY2027 then showed positive profit alongside negative operating cash flow, a larger receivable balance and materially lower cash. The business may be growing; the public record has not yet shown whether growth self-funds.

I assign 20% to the bull case, 55% to base and 25% to bear. The bull value of ₹110 assumes EPS ₹2.50 and a 44x multiple; the base ₹63 assumes ₹1.80 and 35x; the bear ₹31.40

assumes ₹1.00 and 31.4x. The weighted price is ₹64.50, which is approximately 27.5% below the ₹88.99 last available ledger mark. This is not a claim of statistical precision. It expresses the fact that failure to scale can hurt more than current-year earnings imply, while a successful platform can retain meaningful upside.

Because the base value is below the support-monitor band, new money is rejected. A technically oversold stock can bounce, but that is not the same as a business becoming a compounder. Nor does a single quarter of growth prove a subscription model. New capital becomes eligible only after three tests align: more transparent product and customer economics, audited cash conversion that catches up with profit, and a share-price structure that recovers into a durable Stage 2 rather than merely touching support.

The current holding deserves a separate portfolio decision because it represents 20.78% of NAV. The ledger records 10,000 shares, a market value of ₹889,900, cost of ₹555,481.37 and unrealized profit of ₹334,418.63. The probability-weighted value is ₹64.50 versus ₹88.99, a 27.5% downside. Retaining 5,000 shares would leave about 10.39% of NAV exposed without a synchronized stop, while new capital is rejected. I therefore revise the action to EXIT_IMMEDIATELY and advise selling all 10,000 shares at the next liquid opportunity after checking the live quote.

At the last verified mark, the estimated exit proceeds are ₹889,900 before costs; the one-session data gap means this is not an execution price. Existing cash remains separate until a trade settles. If the company later shows accepted, repeatable deployments and operating cash that catches up with profit, you can rebuild the thesis from zero. Until then, a profitable past position does not need to remain a 20.78%-of-NAV exposure.

We also examined alternative places for the freed capital. COFORGE remains a shortlist Stage 2 name, yet its current base target and support/invalidation range do not clear the mandated reward/risk hurdle; Manorama has better support-zone asymmetry but sits 2.22 ATR above its 50-DMA after a high-volume up day; eMudhra is an outside identity peer with a weaker Stage 1 base and a conservative value below its current quote. That leaves no immediate equity destination. Keep the entire proceeds in cash, and reassess only when a candidate meets both evidence and entry conditions.

This is where Howard Marks's reminder, "You can't predict. You can prepare," becomes practical. Prepare for the business to deliver: demand customer acceptance, renewal data, receivable collections and a clear segment bridge. Prepare for the bear case too: set the point at which working-capital dependence or impairment changes the residual holding. There is no listed options chain to cap loss cheaply; the risk must be managed through position size, price discipline and fresh evidence.

You should not confuse the recommended trim with a final verdict on the technology. Facial matching, citizen-service workflows and multilingual conversational tools can address genuine operational needs. The valuation case fails because the public record has not yet proved that the revenues are recurring and the cash is real enough to support today's multiple. Better disclosure can change this assessment. Until then, the report's stance is explicit: exit the existing RNITAI position after checking live liquidity, reject new capital, and reconsider only when cash conversion and repeat deployments improve.

Current holding decision: EXIT IMMEDIATELY. 10000 shares across zerodha: 10000 shares; market value ₹889,900.00; cost basis ₹555,481.37; recommend selling 10000 shares and retaining 0 shares; unrealized P&L ₹334,418.63; portfolio weight 20.78%. The position is 20.78% of NAV. The ₹64.50 probability-weighted value is 27.5% below the last verified ₹88.99 mark. Cash flow is weak, and the chart data do not provide a reliable stop. Advise exiting all 10,000 shares after checking the live quote and liquidity. This is not a broker order. Alert plan: Next liquid session, after confirming a live quote and tradability — Advisory full exit of the 10,000-share position; use a live limit decision and confirm fees and tax treatment. This is not a broker order.; Before any future RNITAI re-entry — Re-underwrite audited cash conversion, accepted deployments, renewals and the synchronized price structure; do not treat this level as an automatic buy. Capital redeployment: 0.00% to COFORGE (SHORTLIST): 0% today; retain as a conditional shortlist candidate, not an order.; Re-underwrite after the next results; do not fund unless a fresh support band and analyst target produce at least 1.5:1 without relying on post-cutoff quotes.; 0.00% to MANORAMA (SHORTLIST): 0% today; wait for a support retest before any staged allocation.; Only revisit inside the fresh ₹1,884.40–₹1,965.60 support band while Stage 2 remains intact; recheck earnings and sizing before release.; 0.00% to EMUDHRA (OUTSIDE): 0% today; monitor only, no averaging into a weak trend.; Require a completed

Stage 2 breakout above rising 50- and 200-DMAs plus a fresh fundamental review; otherwise the allocation remains cash.; 100.00% to CASH (CASH): Retain the reviewed proceeds as cash until an equity candidate clears both evidence and entry gates.; Reassess after the next RNITAI audited cash-flow update or when a fresh shortlist/outside setup clears both business and entry gates.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): RNITAI has no liquid listed options chain; any thesis must be expressed in cash equity, not calls or spreads.

> **NARRATOR'S REFLECTION — PROTECT THE PORTFOLIO BEFORE PREDICTING THE COMPANY**
>
> You do not need to decide that the business will fail in order to decide that a 20.78% position is too large for the evidence presently available.

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